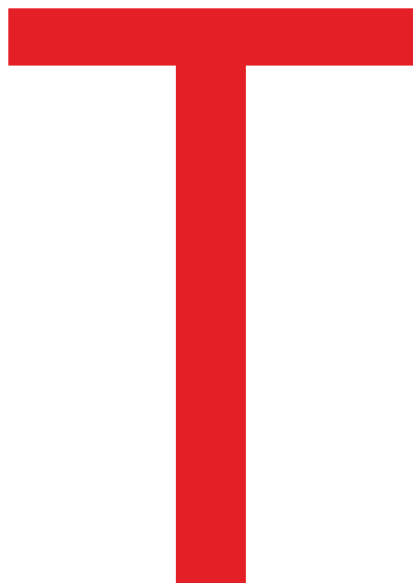




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TEN YEARS AGO, three words uttered by then European Central Bank (ECB) President Mario Draghi—“whatever it takes”—marked the beginning of the turnaround of the Euro zone debt crisis of 2012. Who knew then that Draghi’s words to save the economy would become a buzzword? Today, in the context of soaring inflation, dampening growth, and clouds of slowdown hovering over developed and developing economies, Draghi’s call of 2012 seems more globally relevant than ever. To combat economic woes on multiple fronts, all are scrambling to foster growth, tame inflation and revive sagging economies. Amid volatility in oil prices and commodities causing inflationary pressures, the Indian central bank and government have their task cut out: tame galloping inflation and foster growth.

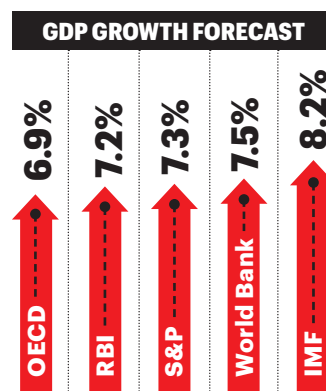
This May, India’s retail inflation eased to 7.04 per cent from a near eight-year high of 7.79 per cent recorded in April. But that’s no cause for joy. Since January 2022, retail inflation breached the Reserve Bank of India’s (RBI) inflation tolerance limit of 6 per cent for the fifth successive month. Swinging into action, the RBI hiked the repo rate by 90 bps to 4.9 per cent in the past one month. Indeed, all central banks are sprinting to hike rates, tame inflation, and push growth. In a bid to curb the 40-year-high inflation in the US, the Fed recently hiked the interest rate by 75 bps. The ECB, too, is looking to raise rates for the first time in the last 11 years.

India’s former chief statistician Pronab Sen believes that as far as growth is concerned, much will depend on how aggressively the RBI tightens the monetary policy. “I would imagine the impact of the Monetary Policy Committee would be huge. So, I think

GROWTH ESTIMATES

The OECD has given the lowest projection for the Indian economy’s growth

Source: BT Research



GDP growth for FY23 is not [going to be] more than 6.5 per cent with the downside risks,” he says. “If, in the next policy meeting, the RBI says they are taking [repo rate] up to 5.4 per cent and, two months later, to 6 per cent, then this kind of aggressive monetary policy will lead to the collapse of demand in the economy, and impact growth.” However, N.R. Bhanumurthy, Vice Chancellor of the Dr. B.R. Ambedkar School of Economics University, disagrees with Sen. “During and after the global financial crisis, we have seen how baby-step monetary policies have led to higher inflation and, at the same time, led to slowdown in GDP growth. India had a terrible monetary policy in 2011-12, which led to double-digit inflation for almost two consecutive years.” Culling out anecdotal evidence from the past to support his stance, Bhanumurthy mentions how Paul Volcker, the Fed Chair during 1979-1987, increased interest rates by 1,200 basis points in 1980 to control inflation in the US. “That means a 12 percentage points hike by Volcker was carried out to address inflation expectations in the US, and this shock did end the inflation,” he says.

O **N JUNE 7**, the World Bank cut India’s economic growth forecast for the current fiscal to 7.5 per cent owing to rising inflation, supply chain disruptions and geopolitical tensions. Treading the same path, in the backdrop of global headwinds, all international organisations and credit rating agencies have revised GDP growth forecasts for India (see chart *Growth Estimates*).